

**JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
SOLICITATION SPE7LX24R0072**

[X] ORIGINAL

[] ADDENDUM (attach copy of original J&A for add-ons or revisions)

1. The Defense Logistics Agency, DLA Land and Maritime, is the contracting activity.
2. The action being approved is the acquisition of supplies/services on other than a full and open competition basis. This DLA Land and Maritime acquisition is for an Indefinite Quantity Contract (IQC) for sixteen DLA-managed NSNs. These items are manufactured by Haldex Brake Products Corp. (06721). This acquisition is being pursued to provide continued or improved supply availability to preclude backorders, reduce administrative and production lead-time (ALT and PLT), decrease potential contract administration actions, and obtain reduced and stable unit pricing.
3. The supplies required to meet the using activity's needs are described as follows:

CLIN	NSN	Item	EST. ANNUAL DEMAND QUANTITY (ADQ)	EST. ANNUAL DEMAND VALUE (ADV)	Contract Maximum	AMC/AMSC	PIC	QCC
0001	2530001064377	CHAMBER ASSEMBLY	238			3Z	2	DAA
0002	4820004661945	VALVE,TEE	163			3D	2	EAA
0003	5330009164677	PACKING,PREFORMED	1,555			3D	2	CAA
0004	3040011660582	BRAKE,ACTUATOR TRAN	57			3D	2	CAA
0005	2590011806105	NIPPLE,FRAME	107			3D	2	DAA
0006	2530012891013	VALVE,RELAY,AIR PRE	141			3D	2	DAA
0007	4310013615075	COMPRESSOR,RECIPROC	530			3D	2	DAA
0008	2530013621613	VALVE,RELAY,AIR PRE	607			3D	2	DAA
0009	2530014084704	CHAMBER,AIR BRAKE	78			3D	2	DAA
0010	4810014791062	VALVE ASSEMBLY,MANI	338			3D	2	DAA
0011	4720014874702	HOSE ASSEMBLY,NONME	158			3D	2	CAA
0012	4720015073444	HOSE ASSEMBLY,NONME	121			3D	2	CAA
0013	2530015503050	VALVE,RELAY,AIR PRE	25			3D	2	DAA
0014	4820015583398	VALVE,SAFETY RELIEF	858			3D	2	DAA
0015	4720015597763	HOSE ASSEMBLY,NONME	13			3D	2	DAA
0016	4820015704933	VALVE,RELIEF,PRESSU	37			3C	2	DAA
TOTAL								

The proposed action is for the solicitation and award of a Firm-Fixed Price type contract of a maximum of five years. The five-year period is inclusive of a one-year base period and four one (1) year option periods. The one-year base period has an estimated value of \$ [REDACTED]. The contract maximum is \$ [REDACTED].

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These NSNs support numerous platforms including, but not limited to, Family of Medium and Light Tactical Vehicles (FMTV), Palletized Loading System, Hot Oil Heater, Missile, Minuteman III, LGM-30, Trailer, Semi (M870), and Trailer, Cargo, M989A1 (HEMAT).

ESTIMATED ANNUAL DEMAND VALUE: [REDACTED]

ESTIMATED 1 YEAR BASE VALUE: [REDACTED]

ESTIMATED TOTAL 5 YEAR VALUE (1 YEAR BASE + 4 OPTIONS): [REDACTED]

MAXIMUM CONTRACT VALUE: [REDACTED]

4. The statutory authority permitting other than full and open competition is:
[X] 10 U.S.C. 3204(a)(1) - Available from only one or a limited number of sources.

These items are procured by an approved CAGE and part numbers. Haldex Brake Products Corp. (06721) is the only source that has been identified as having the proper complete technical data and manufacturing expertise to supply these items to DLA and the using military services.

5. If restricted to the only source(s) of supply, include source(s) and CAGE code:

CLIN	Contractor	CAGE	Part Number
0001	Haldex Brake Products Corp.	06721	N30171
0002	Haldex Brake Products Corp.	06721	GN-14488-R
			N14488R
0003	Haldex Brake Products Corp.	06721	10024
			10440
0004	Haldex Brake Products Corp.	06721	KSMR3PT50-550106
0005	Haldex Brake Products Corp.	06721	11300
0006	Haldex Brake Products Corp.	06721	N4305A
0007	Haldex Brake Products Corp.	06721	N-50013
0008	Haldex Brake Products Corp.	06721	N-4400-D
0009	Haldex Brake Products Corp.	06721	SC24
0010	Haldex Brake Products Corp.	06721	N-4400-B
0011	Haldex Brake Products Corp.	06721	11961
0012	Haldex Brake Products Corp.	06721	11960
0013	Haldex Brake Products Corp.	06721	KN28600
0014	Haldex Brake Products Corp.	06721	90554950
0015	Haldex Brake Products Corp.	06721	11968
0016	Haldex Brake Products Corp.	06721	N1178EE

These items are repair and replacement parts that are incorporated into military end items. These are the only known repair/replacement parts that the Government can ensure will enable the military end item to function properly in accordance with military requirements. Haldex Brake Products Corp. (06721) is the only source that has been identified as having the proper complete technical data and manufacturing expertise to supply these items to DLA and the using military services. The Government physically does not have in its possession sufficient, accurate or legible data to purchase these parts from other than current source(s). The parts require engineering source approval by the design control activity in order to maintain the quality of the part. An alternate source must qualify in accordance with the design control activity's procedures, as approved by the cognizant Government engineering activity. DLA does not possess adequate data, lacks rights to data, and/or has no record of an alternate

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Design Control Activity approved source. The data presently available reflects the minimum needs of the Government. Per the Government approved source lists available for these NSNs in SAP, Haldex Brake Products Corporation (06721) is the only source that has been identified by the Government as having the complete technical dataset and appropriate manufacturing expertise to supply these NSNs to DLA and the using military service. CLINs 0001-0010 are designated as critical application items. The following weapon system indicator codes are assigned to these items: J/Y (Reduction in effectiveness of end item)(CLINs 0011-0015); K (Failure will not render inoperable)(CLIN 0016); F/L/T (Failure will render end item inoperable)(CLINs 0001-0010). Based upon the technical review, only the approved source currently listed in the AMPL has the complete technical data and manufacturing expertise to successfully manufacture these items for the Government and the using military service.

The approved CAGE and part numbers were confirmed by checking the Procurement Item Description (PID) and the Product Master. The Product Specialist reviewed the technical information and recommended for LTC on September 13, 2024. The technical data has indicated that these items are limited to Haldex Brake Products Corp., as the source.

The use of the authority cited below:

[X] AMC 3. Acquire, for the second or subsequent time, directly from the manufacturer.

The use of the authority cited is based on:

[X] *AMSC C*. This part requires engineering source approval by the design control activity in order to maintain the quality of the part. Existing unique design capability, engineering skills, and manufacturing knowledge by the qualified source(s) require acquisition of the part from the approved source(s). The approved source(s) retain data rights, manufacturing knowledge, or technical data that are not economically available to the Government, and the data or knowledge is essential to maintaining the quality of the part. An alternate source must qualify in accordance with the design control activity's procedures, as approved by the cognizant Government engineering

activity. The qualification procedures must be approved by the Government engineering activity having jurisdiction over the part in the intended application. If one source is approved, AMCs 3, 4, or 5 are valid. If at least two sources are approved or if data is adequate for an alternate source to qualify in accordance with the design control activity's procedures, AMCs 1 or 2 are valid. **(CLIN 0016)**

[X] *AMSC D*. The data needed to acquire this part competitively is not physically available, it cannot be obtained economically, nor is it possible to draft adequate specifications or any other adequate, economical description of the material for a competitive solicitation. AMCS 3, 4, or 5 are valid. **(CLINs 0002-0015)**

[X] *AMSC Z*. This part is a commercial/nondevelopmental/off-the-shelf item. Commercial item descriptions, commercial vendor catalog or price lists or commercial manuals assigned a technical manual number apply. If one source is available, AMCs 3, 4, or 5 are valid. If at least two sources are available, AMCs 1 or 2 are valid (When one or a limited number of sources are available, then a J&A is required. When an item is coded with AMSC "Z"

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and is listed on an interchange catalog or appears on a commercial cross reference list, this constitutes full and open competition and a J&A is not necessary). (CLIN 0001)

Per the approved manufacturer parts list for these NSNs in SAP (as received from the Defense Logistics Information Service), only CAGE 06721 has been identified as having the proper complete technical data and manufacturing expertise to supply these items to DLA and the using military services. These items have been determined to be commercial and/or commercial of a type. A technical review in support of a potential LTC was performed and the NSNs were determined to be suitable for a long-term contract. The Product Specialists reviewed the technical information, including the AMC/AMSC codes, and certified it as complete and accurate on September 13, 2024 (See Attachment 1 – Technical Certification).

6. Efforts to ensure that offers are solicited from as many sources as practicable are:

[X] The acquisition will be synopsisized on or about September 13, 2024 for 3 days prior to the solicitation opening. At the completion of the synopsis period, this PR will be solicited on the internet for 30 days via the DLA Internet Bid Board System (DIBBS)..

[X] Approved manufacturer will be solicited.

[X] Dealers of the manufacturer will be solicited.

[] A synopsis exception cited in FAR 5.202 applies. (explain)

[X] Other. (Explain) In an effort to encourage participation by manufacturers in the acquisition process and to help decrease barriers for companies looking to become sources of supply, DLA Land and Maritime hosts Captains of Industries bringing in industry leaders for particular commodities or weapon systems. DLA, depending on budget allowance, also holds supplier conferences.

7. I hereby determine that the anticipated cost to the Government will be fair and reasonable.

a. Certified Cost or Pricing data is not required, as the acquisition is being solicited as commercial under FAR Part 12. These items will be solicited as other than full and open competition. The buyer only intends to award the NSNs if a fair and reasonable price determination can be made.

b. I hereby determine that the anticipated cost to the Government will be fair and reasonable based on commercial price comparison, price analysis, Producer Price Index (PPI), learning curve analysis, and/or informal cost breakdown.

8. Market Research/Efforts to Obtain Competition:

DLA Land and Maritime conducted various forms of market research including the publishing of a formal Sources Sought notice and market survey to www.SAM.gov. In addition to the publishing of a Sources Sought notice, the Market Survey team contacted the approved source and past provider from the procurement history.

Sources Sought Notice:

The Sources Sought Notice was posted to www.SAM.gov on July 15, 2024 and closed on July 23, 2024. A response was received from The Toota Group LLC (93ST9). They are interested in all CLINs as a dealer for Haldex Brake Products Corp.

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Market Survey [10 U.S.C. 3204(e)(2)(D)]:

[X] A market survey was conducted on/during July 15, 2024.

Total number of vendors contacted: 11

Names of vendors contacted and responding: CBT Corporation (4N361), Drive Line Inc. (0GE52), Haldex Brake Products Corp. (06721), Cavanaugh Government Group, LLC (5UY76), Global Logistics Strategies Inc. (7BUL6), Hupp & Associates Inc. (0JT27), Ridewell Corporation (0HUY6), Windward Enterprise, LLC (0UKB6), Wheeler Fleet Solutions, Co. (55683), Worldwide Equipment, Inc. (3HVN9), and Triman Industries Inc. (0ZBE8). Positive responses were received from Hupp & Associates Inc. (0JT27), Global Logistics Strategies Inc. (7BUL6), and Triman Industries Inc. (0ZBE8). No negative responses were received.

Techniques used to conduct survey: Email.

Types of information requested: Commerciality, Length of Contract, FOB, Delivery & General information questions.

Summary of information received:

Hupp & Associates Inc. (0JT27) – Small Business

- Small Business dealer/distributor for large business manufacture CAGE 06721
- Interested in all CLINs
- Stated that they agree to 3 year base
- [REDACTED]
- Indicated that these items were not commercial
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

Global Logistics Strategies Inc. (7BUL6) – Small Disadvantaged Veteran Owned Business

- Small Business dealer/distributor for large business manufacture CAGE 06721
- Interested in all CLINs
- Stated that they prefer a 1 year base
- [REDACTED]
- Did not indicate if these items were commercial
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

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Triman Industries Inc. (0ZEB8) – Large Business

- Indicated that these items were not commercial

The Toota Group LLC (93ST9) – Small Disadvantaged Business

- Indicated that these items are commercial and can provide commercial supporting documentation

Information received regarding the commerciality of the item(s):

The buyer was able to locate all of the items, except for CLIN 0007, commercially available online. The previous LTC for CLIN 0007 was determined commercial of a type. Based on past procurement history and online availability, it has been determined that these items are commercial and/or commercial of a type.

The Government will continue to conduct market research to ascertain if changes occur in the marketplace that would enable future actions for these items to be competitive. Per PGI 206.304, the requirement states, “the justification shall include a copy of the previous justification to assist the approval authority in determining whether the planned actions to remove any barriers to competition cited on the previous justification were completed”. Based on a review of the contract history, CLIN 0007 is the only item that is currently on a LTC (SPE7MX-21-D-5041). The Justification and (J&A) for Other Than Full and Open Competition for SPE7MX-21-D-5041 is included (See Attachment 2 – SPE7MX21D5041 J&A).

Based on previous acquisitions in accordance with DFARS 212.102(a)(ii) and the buyer's additional Internet research, the Contracting Officer has determined that all items are commercial.

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9. Additional facts supporting other than full and open competition are:

[X] Based upon the attached technical certification, technical data is not available and cannot be developed to permit full and open competition. The data presently available reflects the minimum needs of the Government.

10. A listing of sources, if any, indicating an interest in the acquisition is: (If none, so state)

Hupp & Associates Inc. (0JT27)
Global Logistics Strategies Inc. (7BUL6)
Triman Industries Inc. (0ZBE8)
The Toota Group LLC (93ST9)

11. The following actions are being taken to identify additional sources:

[X] Solicitation contains DLA Procurement Note, L04 Offers for Part Numbered Items

[X] Solicitation contains DLA Procurement Note, M06 Evaluation of Offers for Part Numbered Items

[] VE Bailment Program

[] Source Development Review

[] Reverse Engineering

[] Other

(Explain) _____

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I hereby certify that the information contained in this justification is accurate and complete to the best of my knowledge and belief. If not exceeding \$750,000, this signature serves as the approval.

LAUGHERTY.PATRICK.J.1250703704
Digitally signed by
LAUGHERTY.PATRICK.J.1250703704
Date: 2024.09.17 08:00:52 -04'00'

PATRICK J. LAUGHERTY, Contracting Officer

Date

APPROVAL/CERTIFICATION

I have reviewed and approve this justification:

WIEBUSCH.JAMIE.1251897324
Digitally signed by
WIEBUSCH.JAMIE.1251897324
Date: 2024.09.18 07:32:55 -04'00'

Competition Advocate Signature

Date

APPROVAL REQUIREMENTS

- | | |
|--|------------------------------------|
| ☐ Up to \$750,000 | Contracting Officer |
| ☒ Over \$750,000 to \$15,000,000 | Competition Advocate |
| ☐ Over \$15,000,000 to \$100,000,000 | Head of Contracting Activity (HCA) |
| ☐ Over \$100,000,000 | Senior Procurement Executive (SPE) |

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Attachment(s):

- 1 – Technical Certification
- 2 – SPE7MX21D5041 J&A

